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U.S. Equity Research

Payments, Processors and IT Services

Price Target Change

Crypto Weather Forecast: Freezing With a Chance of Lower Take Rates

Both HOOD & COIN saw fundamentals under pressure as the "crypto winter" continued to take its toll on the P&L. Specifically, fundamentals are hurt by casual crypto traders - where take rates are higher - stepping away as crypto prices declined. While there is no clarity when they will return, we believe that HOOD (Outperform) is still better positioned than COIN (Neutral) given that the vast majority of its revenues (>80%) are outside of crypto vs. ~100% in crypto for COIN. Lowering estimates and PTs for both COIN (to $170 from $280) and HOOD (to $135 from $172), largely due to lower BTC levels.

Key Points

1. Crypto Casual Trader Steps Away, Pro Traders Engage: Takes Toll on Take Rates

Take rates are declining as casual traders are stepping away. This has hurt both HOOD and COIN in 4Q. Specifically:

- *HOOD management noted: "where there was less market volatility…the casual trader stepped away, but we saw really strong engagement from the more active traders. To start the year, we're about 5bps lower relative to the average rebate rate we saw in 4Q."*
- Similarly, COIN saw a 12bps decline in the take rate from 154bps to 142bps. Management noted that "*what we saw in the quarter was a mix shift with more volume going to our advanced product and more trading volume coming from Coinbase One users.*"

2. When Will HOOD Stock Turn? Flows From Schwab Might Help Answer This Question

- Assessing HOOD flows as % of Schwab (NC) self-directed net flows, HOOD saw a second consecutive quarter of the adverse trend continuing.
- While the prior seven quarters averaged ~34% (net flows as a % of SCHW self-directed assets) 4Q25 came in at ~26%.
- While this metric is still elevated vs. 2022/23 (avg. was ~16%), we believe this a key bogey the market is watching heading into 2026.

COIN & HOOD PT Changes

HOOD Valuation: We now value HOOD at ~19x FY27E revenue (from ~24x), ahead of its current trading multiple (~10x) and ahead of the FinTech growth peer group. We believe the premium is merited as (1) HOOD has proven its ability to grow rapidly and (2) it can tap into the $600bn TAM with new products & geographies. PT $135 (from $172). The historical 2-year forward EV / Sales average over the last 2-years has been 19x. We assign HOOD a multiple in line with its average historical 2-year forward sales multiple. We believe the average is appropriate, seeing the strong product velocity as more important than <20% crypto exposure.

COIN Valuation: COIN stock has historically tracked Bitcoin prices (see Exhibit below). With Bitcoin at <$70K, down almost ~50% from its ATH, we believe a lower multiple for COIN stock is warranted. We now value COIN at ~13x our 2027E Adj. EBITDA, implying a PT of $170 (from $280). This is 3 turns below HOOD's current 2027 EV/EBITDA trading multiple and one turn above CRCL's. The historical 2-year forward EV/ EBITDA average over the last 2 years has been 19x. We are assigning a discount at 13x because we believe

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Symbol	PT (Previous)	Rating (Previous)	Price
COIN	▼$170.00 ($280.00)	Neutral	$164.32
HOOD	▼$135.00 ($172.00)	Outperform	$75.97

Source: Bloomberg and Mizuho Securities USA

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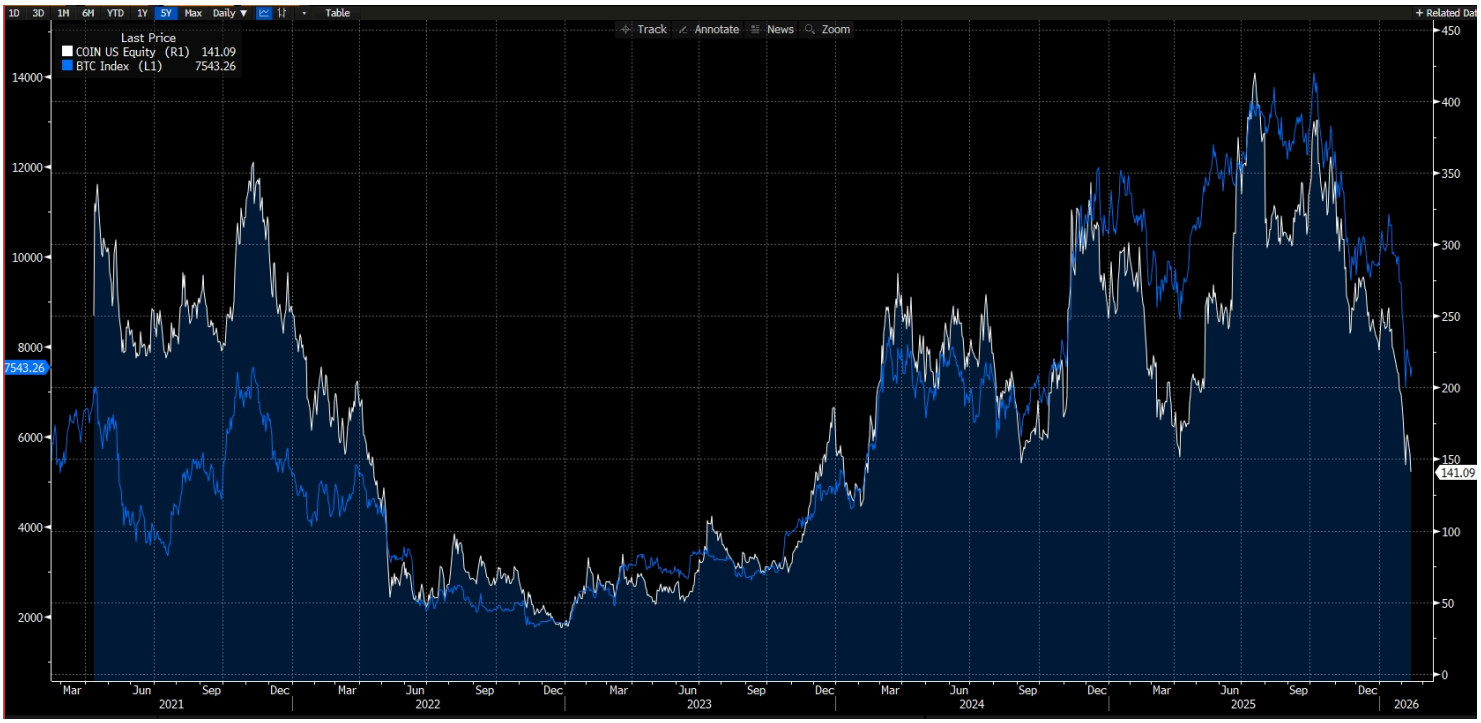
this is more appropriate given the "crypto winter." As evidence, EV/EBITDA has been as low as 8x vs. the current 11x.

HOOD: We are modestly lowering our expectations for 2026 and 2027 given a softer retail and crypto backdrop. Specifically, we now expect 1% lower 2026E revenue and 2% lower 2027E revenue. Given the associated operating deleverage we also lower our adj. EBITDA expectations by 4% and 3% for 2026 and 2027 respectively.

COIN: We are lowering our expectations for 2026 and 2027 significantly given lower Bitcoin / Crypto values and retail trader hiatus. Specifically, we now expect 12% lower 2026E revenue and 6% lower 2027E revenue. Given the associated operating de-leverage we also lower our adj. EBITDA expectations by 27% and 16% for 2026 and 2027 respectively.

Exhibit 1 - COIN Stock & BTC Seem Highly Correlated



Source: Bloomberg, MSUSA research

Exhibit 2 - COIN Income Statement

COIN: Annual Income Statement FY 2019 - 2027E

$ in millions	FY19	FY20	FY21	FY22	FY23	FY24	FY25 E	FY26 E	FY27 E
Transaction Revenue	463	1,096	6,837	2,356	1,520	3,986	4,055	4,016	4,221
% Growth		*137%*	*524%*	*-66%*	*-36%*	*162%*	*2%*	*-1%*	*5%*
Interest Income	n/m	6	26	327	881	1,176	1,596	1,753	2,010
% Growth		*n/m*	*369%*	*1167%*	*169%*	*34%*	*36%*	*10%*	*15%*
Other S&S Revenue	20	39	492	466	526	1,131	1,232	1,236	1,937
% Growth		*98%*	*1145%*	*-5%*	*13%*	*115%*	*9%*	*0%*	*57%*
Total Revenue	534	1,277	7,839	3,194	3,108	6,564	7,181	7,326	8,488
% Growth		*139%*	*514%*	*-59%*	*-3%*	*111%*	*9%*	*2%*	*16%*
Operating Expenses	580	869	4,763	5,904	3,270	4,257	5,746	5,681	6,344
as % of Total Revenue	*109%*	*68%*	*61%*	*185%*	*105%*	*65%*	*80%*	*78%*	*75%*
Operating Income	(46)	409	3,077	(2,710)	(162)	2,307	1,435	1,644	2,144
% Margin	*-8.6%*	*32.0%*	*39.2%*	*-84.8%*	*-5.2%*	*35.1%*	*20.0%*	*22.4%*	*25.3%*
Pretax Income	(45)	409	3,027	(3,065)	(77)	2,943	1,522	1,514	2,014
Tax Expense	(15)	87	(597)	(440)	(172)	364	262	272	362
% Rate	*33%*	*21%*	*-20%*	*14%*	*224%*	*12%*	*17%*	*18%*	*18%*
Net Income	(30)	322	3,624	(2,625)	95	2,579	1,260	1,241	1,651
Adj. EBITDA	24	527	4,090	(371)	978	3,348	2,808	2,806	3,497
% Margin	*4.5%*	*41.3%*	*52.2%*	*-11.6%*	*31.5%*	*51.0%*	*39.1%*	*38.3%*	*41.2%*

Source: Company reports, MSUSA research

Exhibit 3 - HOOD Income Statement

HOOD: Annual Income Statement FY 2022 -2026E ($mn)

	FY22	FY23	FY24	FY25	FY26E	FY27E
Total Revenue	1,358	1,865	2,951	4,473	5,785	6,563
% Growth	*-25%*	*37%*	*58%*	*52%*	*29%*	*13%*
Operating Expenses	2,369	2,401	1,897	2,379	2,924	3,288
as % of Total Revenue	*174.4%*	*128.7%*	*64.3%*	*53.2%*	*50.5%*	*50.1%*
Operating Income	(1,011)	(536)	1,054	2,094	2,861	3,276
% OM	*-74.4%*	*-28.7%*	*35.7%*	*46.8%*	*49.5%*	*49.9%*
Other (income) / expense	16	(3)	(10)	(14)	5	5
Pretax Income	(1,027)	(533)	1,064	2,108	2,856	3,270
Tax Expense	1	8	(347)	225	714	818
Net Income	(1,028)	(541)	1,411	1,883	2,142	2,453
EPS	$ (1.17)	$ (0.60)	$ 1.56	$ 2.05	$ 2.34	$ 2.65
% Growth	*n/m*	*n/m*	*n/m*	*31%*	*14%*	*13%*
Shares	879	899	901	919	917	926
Adj. EBITDA	(94)	536	1,429	2,522	3,491	3,991

Source: Company reports, MSUSA research

Price Target Calculation and Key Risks

Coinbase Global, Inc. (COIN)

Investment Thesis

Growing global enthusiasm surrounding the finite number of Bitcoins and more favorable political environment are likely sufficient catalysts for price appreciation. We identified 79% correlation (63% r-squared) between Bitcoin adoption growth and Bitcoin price. Assuming adoption growth continues on a similar trajectory through 2027 implies 25-30% annual Bitcoin price appreciation.

We also identified 95% correlation (90% r-squared) between the price of Bitcoin and COIN's stock price since 1Q22. Thus, our expectation that Bitcoin is likely to continue to appreciate in price over the medium-term should bode well for COIN stock price.

Plus, COIN should benefit from high crypto asset market volatility (and thus elevated volumes on the platform) along with a growing USDC market cap, from which it earns high-margin interest income. Plus, management has shown prudence on cost control.

That being said, COIN still relies heavily on retail trading commissions, which account for approximately half of total revenue. We expect that, over time, fees could face downward pressure from competing platforms (such as HOOD on the retail side) and follow in the footsteps of zero-commission stock trading. We held this view prior to the launch of Bitcoin ETFs, which while a boon to COIN today, could serve as another catalyst that drives pricing lower over time.

Base Case/PT

We value COIN at ~13x our 2027E Adj. EBITDA, implying a PT of $170. This valuation is 2 turns above its current peer average as we believe COIN deserves credit for growth, cost management, and secular tailwinds, but note our 2027E Adj. EBITDA is below the current street consensus, hence our market Neutral rating.

Bull Case/PT

Our bull case contemplates a rise in Bitcoin and other crypto asset prices that drives a significant increase in volumes traded on the COIN platform. In this scenario, COIN could leverage its more disciplined approach to expenses and drive 10% upside to 2027E Adj. EBITDA. At a ~16x multiple (3 turns above our base case), this implies a bull case PT of $212.

Bear Case/PT

A bear scenario may entail a crypto winter, during which trading volumes are depressed and lesser interest in the crypto space weighs on alt-coin and subscription & services revenue. In this scenario, we see 10% potential downside to 2027E Adj. EBITDA. At a ~10x multiple, this implies a bear case PT of $108.

Risks

Upside risks include: continued Bitcoin price appreciation, high crypto asset market volatility given that COIN earns fee revenue on crypto transactions, faster-than-expected growth in USDC market cap and/or higher interest rates as it pertains to interest income, and better-than-expected uptake of subscription & services revenue streams.

Downside risks include: lower Bitcoin prices, low crypto asset market volatility given that COIN earns fee revenue on crypto transactions, slower-than-expected growth in USDC market cap and/or lower interest rates as it pertains to interest income, and lack of traction in subscription & services revenue streams.

Robinhood Markets, Inc. (HOOD)

Investment Thesis

In our view, HOOD has captured the zeitgeist of a generation through its high-quality platform, engaged user base, rapid product velocity, high operating leverage (>90% of opex is fixed), and focus on profitable growth. HOOD continues to execute on implementing new products - such as retirement and the Gold Card - which are already seeing traction among its user base. Management has proven its ability to drive profitable growth while adding incremental products, services, and geographies - a key differentiator vs incumbent platforms. The next catalyst we see for HOOD is international adoption after its recent 2024 launch in the UK.

Base Case/PT

We value HOOD at ~19x FY27E revenue, ahead of its current trading multiple (10x) and ahead of the FinTech growth peer group. We believe the premium is merited as (1) HOOD has proven its ability to grow rapidly and (2) it can tap into the $600bn TAM with new products & geographies. PT $135.

Bull Case/PT

Our bull case PT of $172 contemplates better than expected FY26 & FY27 revenue growth paired with a 3-turn premium to our base valuation multiple (22x) and meaningfully higher revenue due to a rapid ramp in international expansion and better product adoption.

Bear Case/PT

Our bear case PT of $55 contemplates worse than expected FY26 & FY27 revenue growth paired with a lower valuation multiple (10x) as well as ~20% less revenue due to lower adoption of new products and slower ramp internationally.

Risks

Downside risks include market share loss in equities and options to other trading platforms, and/or lower ongoing interest in investing and personal finance from retail investors. Additional risks include 'graduation risk', i.e. if users reduce engagement with HOOD after achieving certain levels of assets.

Companies Mentioned (prices as of 2/16/2026)
SCHWAB (CHARLES) CORP (SCHW- Not Rated)

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Investment Risks and Valuation Methods can be located in the following section of this research report: Base Case PT and Key Risks.

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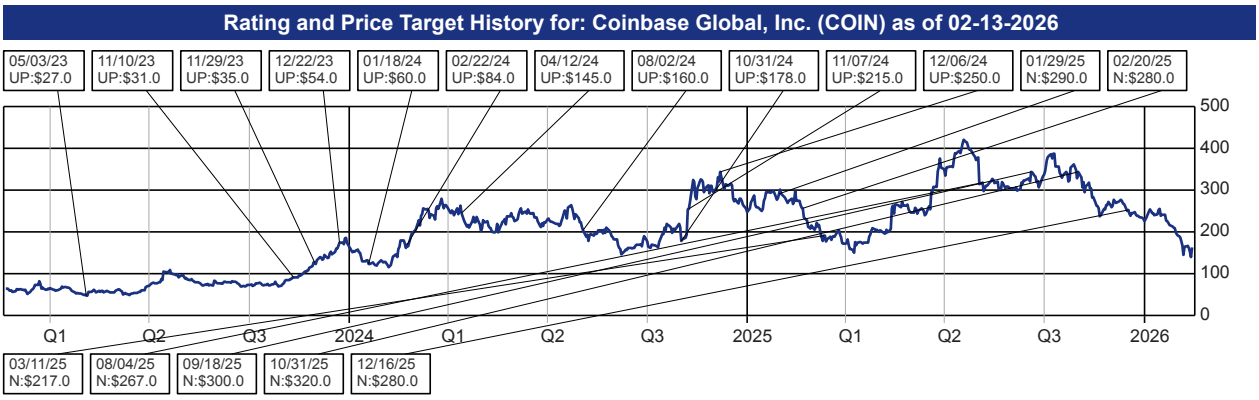

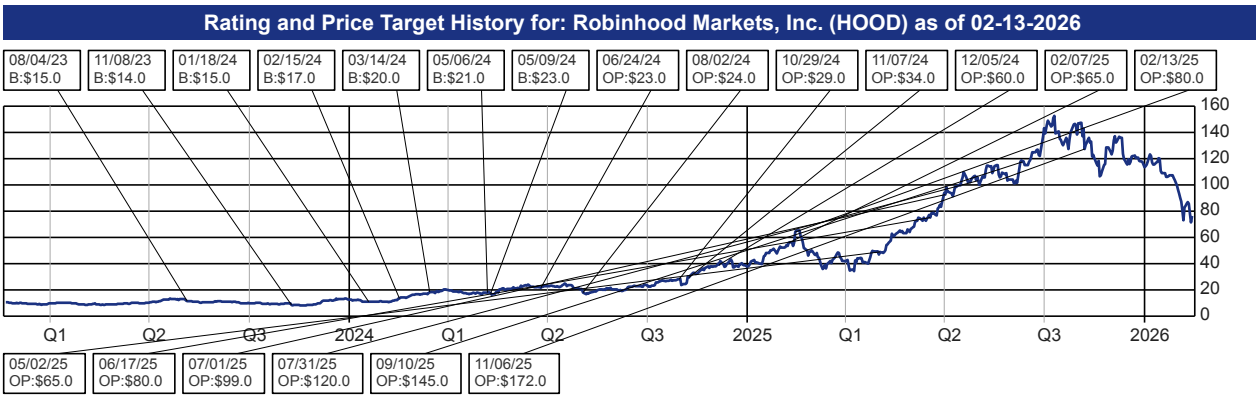

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